

Surveys on Financial Literacy and Digital Financial Skills in Italy

Adults Questionnaire IACOFI 2023: Variables Explained

Data Science Lab Project

DEMOGRAPHIC

- **Qd1:** Sesso (0: donna, 1: uomo, -98: altra risposta, -99: refused)
- **Qd7:** Età (-99: refused, _1: 18-19, _2: 20-29, _3: 30-39, _4: 40-49, _5: 50-59, _6: 60-69, _7: 70-79)
- **Qd2:** Macro-region (1: North-West, 2: North-East, 3: Center, 4: South, 5: Islands)
- **Qd3:** Urban_area (1: lower 3000 people, 2: 3000-15000, 3: 15000-100000, 4: 10000-1000000, 5: over 1000000)
- **Qd5:** Who do you live with (_1: alone, _2: partner, _3 & _4: children, _5: other adult relatives, _6 & _7: flatmates, _99: refused)
 - **Qd5_ad:** How many adults live with (-98: does not apply, -99: refused, count) IF $Qd5_1 = 0$
 - **Qd5_ch:** How many children under 18 (-98: does not apply, -99: refused, count) IF $Qd5_1 = 0$ & $Qd5_3 = 1$
- **Qd10:** Work situation (1: Self-employed, 2: paid employment, 3: apprentice, 4: looking after the home, 5: looking for work (unemployed), 6: retired, 7: unable to work (health), 8: not working and not looking for work, 9: student, 10: other, -99: refused)
- **Qd14:** Internet access (yes: 1, no: 0, -99: refused)

FINANCIAL

- **Qf1:** Who is responsible for planning day-to-day money decision (1: you, 2: you and someone else, 3: someone else, -97: I don't know, -99: refused)
- **Qf2:** Which financial activities do you usually do (_1: Planning income and expenses, _2: Taking notes of the spending, _3: Separating money for bills from day-to-day spending, _4: making a note of upcoming bills in order not to miss them, _5: keeping track of the outgoing through a money management tool, _6: arranging automatic payments for regular outgoings)
- **Qf3:** Active savings method (_1: saving physically (at home/in the wallet), _2: money into a savings/deposit account, _3: giving money to family to save on your behalf, _4: saving in an informal savings club, _5: buying bonds or time deposits, _6: crypto-assets, _7: stocks and shares, _8: other way of saving (buying livestock, gold, real estate or other property), _81: bought other financial instruments (e.g. investment accounts, loans to cooperatives), _98: didn't save)

- **Qf4:** If you have to face a huge expense today (equal to personal income), would you be able to pay it without borrowing money or asking people to help? (EXPENDITURE SHOCK)
 - 1: yes, with immediate availability.
 - 2: yes, selling assets
 - 0: no
 - -97: don't know
 - -98: don't have any income → NOT APPLICABLE
 - -99: refused
- **QF8:** RETIREMENT CONFIDENCE, on a scale of 1 to 5; how confident are you that you have done/are doing a good job of making financial plans for your retirement? (1: very confident, 2: confident, 3: middle, 4: not confident, 5: not confident at all, 6: don't have a retirement plan, -97: don't know, -99: refused)
- **Qf9:** How do you fund retirement? (_1: government pension, _2: workplace pension plan, _3: private pension plan, _4: selling financial assets, _5: selling non financial assets, _6: from income generated by your assets, _7: rely on partner, _8: rely on family members, _9: rely on savings, _10: continue to work, _11: revenue of an owned business, _12: reversibility pension)
- **Qf11:** Have you found that your income does not quite cover living expenses in the last 12 months? (1: yes, 0: no, -97: don't know, -98: no personal income, -99: refused)
- **QF12** (ASKED ONLY IF QF11=1): How did you make the ends meet? (*Si possono prendere anche solo le macrocategorie _1/2/3 senza andare nel dettaglio*):
 - **_1 Existing resources:** _1_1: money from savings, _1_2: spend less, _1_3: selling something that you own
 - **_2 Additional resources:** _2_1: extrajob/work overtime, _2_2: support from the government, _2_3: help from other people
 - **_3 Access credit by using contacts/resources:** _3_1: borrow from people, _3_2: borrow from employer/salary advance, _3_3: pawn something you own, _3_4: loan from your savings and loans clubs, _3_5: someone else's credit card, _3_6: Take money out of a flexible mortgage account, _3_7: apply for loan on pension fund
 - **_4 Borrow from existing credit line:** _4_1: authorised, arranged overdraft or line of credit, _4_2: credit card for a cash advance
 - **_5 Additional credit:** _5_1: personal loan from a financial service provider, _5_2: payday loan, _5_3: loan from informal provider, _5_4: SMS loan, _5_5: online instant loan
 - **_6 Fall behind:** _6_1: unauthorised overdraft, _6_2: pay bills late
 - **_7 Other responses**
 - **_97 Don't know, _99: refused**
- **QF13:** You lose your main source of income, how long could you continue to cover expenses without borrowing? (1: less than a week, 2: between a week and a month, 3: $1 \leq \text{months} < 3$, 4: $3 \leq \text{months} < 6$, 5: $\text{months} \geq 6$, -97: don't know, -99: refused)

FINANCIAL PRODUCTS AND SERVICES

- **QP1 / QP2 / QP3:** Same categories but different concept. QP1 is “have you ever HEARD of?”, QP2 (ONLY IF QP1 was “YES”) is “Do you currently HOLD”, QP3 is “have you CHOSEN those products in the last 2 yrs?”.
 - **Categories:** _1: pension/retirement product, _2: investment account, _3: mortgage, _5: unsecured bank loan, _7: credit card, _8: current/checking/payment account, _9: savings account, _11: insurance, _12: stocks and shares, _13: bonds, _14: mobile phone payment account, _15: prepaid debit card, _16: crypto-assets, _17: sustainable financial products (ESG/GREEN), _add_1: loan for a specific good or service, _add_2: loans to cooperatives, _add_3: buy now pay later, _add_4: insurance to protect against unforeseen events in the repayment of loans, _add_5: basic account, _98: none
- **QP5** (For answers different from NONE in any QP3): How you made your most recent choice? (1: considered several options from different companies, 2: several options from 1 company, 3: didn’t consider any other option, 4: didn’t find any other option, -97: don’t know, -98: not applicable, -99: refused)
- **QP7** (For answers different from NONE in any QP3): Information source that influenced the recent choice. (_1: specialist product comparisons/best-buy guidance, _2: price comparison website, _3: independent financial advisor, _4: advert/brochure of the specific product, _5: recommendation from friends/family, _6: recommendation from social media/influencers, _7: information given by financial product provider, _81: adv on TV/radio/internet, _82: other, _99: refused)
- **QP7_add1:** Risk aversion. (1: high risk for high earning, 2: fair degree of safety for the invested capital and a good profit, 3: good degree of safety of the invested capital for a decent profit, 4: no risk of capital loss and low earnings, -99: refused)
- **QP8** (ONLY IF QD14=1): Activities online that have been done (1=yes, 2=no, -97=idk, -99=refused). (_1: opened an account completely online, _2: requested a card completely online, _3: subscribed to an insurance policy online, _4: taken credit online, _5: invested money via online platforms)
- **QP9** (ONLY IF QD14=1): Frequency of activities. (1=never, 2=sometimes, 3=often, 4=very often, -97=idk, -98=not applicable, -99=refused). (_1: checked record of bank account online, _3: paid bills online, _4: bought goods and services online, _5: transferred money to others online, _6: managed financial products online, _7: paid for goods in a physical shop with a mobile phone, _10: consulted online platform for automated financial advisor)
- **QP10:** Have you experienced issues. (1=yes, 0=no, -95=don’t understand the question, -97=idk, -98=not relevant, -99=refused). (_1: invested in a product that scammed you, _2: accidentally provided financial information in response to something that wasn’t genuine, _3: anyone used your card for payments with no authorisation, _4: queried a transaction in your account that you didn’t recognise, _5: made a formal complaint received from a financial institution, _8: have been denied a credit card, _9: complained to a provider about high commissions)

FINANCIAL KNOWLEDGE

- **QK1:** Self-rated financial knowledge. (1 = very high, 2 = quite high, 3 = about average, 4 = quite low, 5 = very low, -97 = don’t know, -99 = refused)

- **QK3:** Question about inflation. Brothers receive 1k €, before splitting and receiving their money they have to wait for a year (inflation 8%). A year later they will be able to buy: (1: more than they could do today, 2: same amount, 3: less than they could buy today, 4: depends on what they want to buy, -97: don't know, -999: irrelevant answer)
- **QK4:** Question about interest on loan. Lending \$25 to a person who gives you back the same amount. Interest paid on loan? (Count, -97: idk, -999: irrelevant answer). *Si potrebbe categorizzare: risposte negative, positive e = 0.*
- **QK5:** Question about simple interest. 100€ in account with no fee, only 2% interest rate. After a year amount in the account? (Count, -97: idk, -99: refused, -999: irrelevant answer)
- **QK6:** QK5 but after 5 years with same interest rate. (1: >110€, 2: =110€, 3: <110€, 4: impossible to tell from information, -97: don't know, -999: irrelevant answer)
- **QK7:** True/False statements. (1=T, 0=F, -97=idk, -99=refused). (_1: Investment with high return is likely to be high risk, _2: High inflation means that cost of living is increasing rapidly, _3: differentiating allows to reduce the risk, _4: digital financial contract requires signature of a paper contract, _5: personal data that I share may be used to target me with adv, _6: crypto-currencies have same legal tender as banknotes)
- **QK10 (T/F):** 15-year mortgage has higher monthly payment than a 30-year one but overall interest paid over the life of the loan is lower.

ATTITUDES AND BEHAVIOUR

- **QS1:** Agree/disagree scale with statements (1 = compl agree, 2 = agree, 3, 4, 5 = compl disagree, -97=idk, -98=not relevant, -99=refused). (_1: prefer spending money than saving for the long term, _2: I'm prepared to risk some of my money when making an investment, _3: money is there to be spent, _4: satisfied with my current financial situation, _5: keep a close personal watch on my financial affairs, _7: my financial situation limits me in doing things, _8: I set long term financial goals and try to achieve, _9: money in a bank will be safe even if the bank fails, _10: my debt is too high, _13: it's the right time to invest in crypto-assets or ICOs)
- **QS2:** Frequency scale of behaviours (1 = always, 2, 3, 4, 5 = never, -97=idk, -98=not relevant, -99=refused). (_1: worry about paying my normal expenses, _2: my finances control my life, _3: before buying something, I consider whether I can afford, _4: I've money left over at the end of the month, _5: pay my bills on time, _6: share passwords of bank account with closest, _7: I check whether provider of a product is regulated in my country, _8: I share my personal finances info publicly online, _9: consider social or environmental values of a company I want to buy from)
- **QS3:** Statement of personal situation. Scale of description of myself (1 = completely, 2, 3, 4, 5 = not at all, -97=idk, -98=not relevant, -99=refused). (_2: choice of financial intermediaries is driven by ethics, _3: I can't get what I want due to my financial situation, _9: I'm concerned to run out of money, _10: I'm getting by financially (sopravvivere a stento), _11: I live for today (alla giornata), _12: bet on a lottery ticket when I feel I don't have enough money, _13: regularly change passwords on websites where I put my card data)
- **QS4 (ONLY IF QD14=1):** Agree/disagree scale with statements (1 = compl agree, 2 = agree, 3, 4, 5 = compl disagree, -97=idk, -98=not relevant, -99=refused). (_1: safe

shopping online using public WIFI, _2: important to pay attention to security of a website before making a transaction, _3: not important to read terms and conditions when buying online, _4: digital tools facilitate my management of personal finances, _5: trust financial services provided by online banks, _6: financial service providers should use a wide range of personal data in decisions about granting credit, _7: online I buy impulsively more than in a shop, _8: read more carefully physical contract than online)

- **QS5:** Agree/disagree scale with investment statements (1 = compl agree, 2 = agree, 3, 4, 5 = compl disagree, -97=idk, -98=not relevant, -99=refused). (_4: when investing is more important to look at profit than impact on the environment, _5: when investing is more important to look at profit than social impact, _6: when investing is more important to look at profit than risk management and ethics)

BACKGROUND INFORMATION

- **QD6:** Frequency scale of technological behaviours (1 = Never, 2 = Sometimes, 3 = Often, 4 = Very often, -97=idk, -98=not relevant, -99=refused). (_1: written document on a PC, _2: sent or received an email, _3: called through a mobile phone, _4: call over the internet, _5: participated in social network online, _6: used instant messaging applications, _7: looked for info online)
- **QD9:** Highest level of education. (1: post-graduate education, 2: second-cycle qualification (MAGISTRALE), 3: bachelor, 4: attended uni without graduating, 5: high-school diploma, 6: attended high-school but did not graduate, 7: middle school diploma, 8: attended middle school but didn't graduate, 9: primary school diploma, 10: no education, -99: refused)
- **QD12:** Nationality. (1: italian, 0: other, -99: refused)
- **QD13:** Net income band. (1: $\leq 1750\text{€}$ a month, 2: $1751 < \text{income} < 2900$, 3: $> 2900\text{€}$ a month, -97: idk, -99: refused)